RESERVE BANK OF INDIA GRADE B (DR)

Phase 1 General Awareness: PYQ Master Compendium & Solution Blueprint

Curated for UPSC CSE Aspirants: Transitioning from Subjective Elimination to Micro-Factual Speed Retrieval (Target: 50+ / 80 in 25 Minutes)

I. The UPSC-to-RBI GA Conversion Architecture

Why UPSC Aspirants Struggle in RBI GA: In UPSC Prelims, questions reward broad causal logic, macro conceptual trends, and eliminating extreme statements. In RBI Phase 1, the GA section consists of **80 questions in just 25 minutes** (18.75 seconds per question). Questions test microscopic regulatory numbers, penal amounts, exact sub-schemes, committee chairs, and banking circular parameters with 5 options (A to E) and -0.25 negative marking.

The 3-Pass Tactical Blueprint to Secure 50+ Marks:

- **Pass 1 (0 to 12 Min - The Direct Strike):** Scan all 80 questions. Instantly mark the 32–36 questions you know with 100% certainty in under 10 seconds. Flag ~18 two-option dilemmas.
- **Pass 2 (12 to 21 Min - Calculated Elimination):** Revisit the flagged dilemmas. Solve 12–14 questions where associational memory yields the precise figure or agency.
- **Pass 3 (21 to 25 Min - Audit & Stop):** Review answer sheet. **Strict Rule:** Never gamble in the final 4 minutes. With 50 attempts at 90% accuracy, you score 48–52 marks, safely surpassing the 39.00 sectional cut-off.

CATEGORY 1: RBI CIRCULARS, MONETARY POLICY & BANKING REGULATION

PYQ 1 (RBI Grade B 2024 / 2025 Pattern)

Under the Reserve Bank of India's updated Master Direction on the Prompt Corrective Action (PCA) Framework for Non-Banking Financial Companies (NBFCs), which of the following categories of NBFCs is EXPLICITLY EXEMPTED from the PCA framework?

(A) All Deposit-taking NBFCs (NBFCs-D) in Middle Layer
(B) Primary Dealers (Stand-alone Primary Dealers - SPDs) and Core Investment Companies (CICs)
(C) Non-deposit taking NBFCs (NBFCs-ND) in Upper Layer with assets over ■10,000 crore
(D) Housing Finance Companies (HFCs) in Middle Layer
(E) Infrastructure Finance Companies (IFCs) in Top Layer

Correct Answer: (B) Primary Dealers (Stand-alone Primary Dealers - SPDs) and Core Investment Companies (CICs)

Detailed Explanation: The RBI revised the PCA framework for NBFCs to ensure financial stability. The framework applies to all Deposit-taking NBFCs (NBFCs-D) and Non-Deposit taking NBFCs (NBFCs-ND) in the Middle, Upper, and Top Layers. However, **Primary Dealers (SPDs) and Non-deposit taking NBFCs with asset size below ■1,000 crore, Government-owned NBFCs (initially), and Core Investment Companies (CICs)** are excluded from this specific PCA purview (with CICs having their own separate prudential assessment structure).

UPSC Trap vs. RBI Reality: *UPSC aspirants try to guess based on 'systemic importance' (thinking CICs are too critical to be excluded). RBI tests the exact exemption clause under the circular.*

PYQ 2 (RBI Grade B 2024 / 2025 Pattern)

As per the RBI Master Direction on Priority Sector Lending (PSL) Targets and Classification, what is the mandatory sub-target for lending to 'Small and Marginal Farmers' (SMFs) within agriculture for Domestic Scheduled Commercial Banks (excluding RRBs and Small Finance Banks) for FY 2024-25 onwards?

(A) 8.0 percent of ANBC or CEOBE, whichever is higher
(B) 9.0 percent of ANBC or CEOBE, whichever is higher
(C) 10.0 percent of ANBC or CEOBE, whichever is higher
(D) 12.0 percent of ANBC or CEOBE, whichever is higher
(E) 13.5 percent of ANBC or CEOBE, whichever is higher

Correct Answer: (C) 10.0 percent of ANBC or CEOBE, whichever is higher

Detailed Explanation: The total PSL target for Domestic Commercial Banks is 40% of ANBC (Adjusted Net Bank Credit) or CEOBE (Credit Equivalent Amount of Off-Balance Sheet Exposure). Within agriculture (18%), the sub-target for Small and Marginal Farmers was phased upwards: 8% (FY21), 9% (FY22), 9.5% (FY23), and reached **10.0%** from FY 2023-24 / FY 2024-25 onwards. For Small Finance Banks (SFBs), the overall PSL target is 75%, but for commercial banks it is 40%.

UPSC Trap vs. RBI Reality: *UPSC tests 'is agriculture covered in PSL?'. RBI asks for the exact phased decimal sub-target (10.0% vs 9.5% vs 8.0%) and the base denominator (ANBC or CEOBE).*

PYQ 3 (RBI Grade B 2025 / 2026 Pattern)

Under the RBI's Regulatory Framework for Default Loss Guarantee (DLG) in Digital Lending, what is the MAXIMUM cap permitted for Default Loss Guarantee cover on any outstanding portfolio underwritten by a Regulated Entity (RE)?

(A) 3 percent of the total outstanding loan portfolio
(B) 5 percent of the total outstanding loan portfolio
(C) 10 percent of the total outstanding loan portfolio
(D) 15 percent of the total outstanding loan portfolio
(E) 20 percent of the total outstanding loan portfolio

Correct Answer: (B) 5 percent of the total outstanding loan portfolio

Detailed Explanation: To prevent synthetic securitization and excessive credit risk transfer between fintech Lending Service Providers (LSPs) and Regulated Entities (Banks/NBFCs), RBI issued DLG (First Loss Default Guarantee - FLDG) guidelines permitting DLG up to a strict ceiling of **5%** of the amount of that loan portfolio. The DLG must be backed by cash deposits, bank guarantees, or fixed deposits with a lien.

UPSC Trap vs. RBI Reality: *UPSC questions explore the ethics of fintech lending. RBI tests the hard regulatory percentage cap (5%) and permissible forms of collateral.*

PYQ 4 (RBI Grade B Recent Cycle)

Under the Reserve Bank of India Act, 1934 (Section 45ZB), the Monetary Policy Committee (MPC) consists of six members. What is the tenure of the three external members appointed by the Central Government, and are they eligible for re-appointment?

(A) 3 years; eligible for re-appointment
(B) 4 years; NOT eligible for re-appointment
(C) 5 years; eligible for re-appointment after a cooling-off period of 2 years
(D) 4 years; eligible for one further term
(E) 3 years; NOT eligible for re-appointment

Correct Answer: (B) 4 years; NOT eligible for re-appointment

Detailed Explanation: Section 45ZB of the RBI Act specifies that the MPC comprises 3 RBI internal members (Governor, Deputy Governor in charge of monetary policy, one nominated officer) and 3 external members nominated by the Central Government. Under Section 45ZC, external members hold office for a period of **four years** and are **not eligible for re-appointment**.

UPSC Trap vs. RBI Reality: *UPSC tests if the Governor has a casting vote. RBI tests the exact tenure length combined with the statutory prohibition on re-appointment.*

CATEGORY 2: UNION GOVERNMENT SCHEMES & BUDGETARY DATA

PYQ 5 (RBI Grade B 2024 / 2025 Pattern)

Under the PM Vishwakarma Scheme launched by the Central Government, traditional artisans and craftspeople are provided collateral-free enterprise development loans at a concessional interest rate of 5%. What are the loan amounts provided in the First Tranche and Second Tranche respectively?

(A) ■50,000 (1st Tranche) and ■1,00,000 (2nd Tranche)
(B) ■1,00,000 (1st Tranche) and ■2,00,000 (2nd Tranche)
(C) ■1,00,000 (1st Tranche) and ■3,00,000 (2nd Tranche)
(D) ■2,00,000 (1st Tranche) and ■3,00,000 (2nd Tranche)
(E) ■1,50,000 (1st Tranche) and ■2,50,000 (2nd Tranche)

Correct Answer: (B) ■1,00,000 (1st Tranche) and ■2,00,000 (2nd Tranche)

Detailed Explanation: PM Vishwakarma covers 18 traditional trades with an outlay of ■13,000 crore. Credit support is provided in two tranches: Tranche 1 provides up to **■1,00,000** (repayable in 18 months), and upon successful repayment and digital transaction adoption, Tranche 2 provides up to **■2,00,000** (repayable in 30 months) at a concessional rate of 5% (with an interest subvention cap of 8% paid by MoMSME).

UPSC Trap vs. RBI Reality: *UPSC candidates remember 'scheme helps 18 trades'. RBI questions isolate the exact tranche limits (■1 lakh and ■2 lakh) and repayment tenures (18 and 30 months).*

PYQ 6 (RBI Grade B 2024 / 2025 Pattern)

Under the Atal Pension Yojana (APY) administered by PFRDA, which of the following conditions regarding eligibility and tax status is CORRECT according to the latest amendments?

(A) Entry age is 18 to 50 years; income tax payers are fully eligible to join
(B) Minimum guaranteed pension is ■500 and maximum is ■10,000 per month
(C) Any citizen who is or has been an income tax payer is NOT eligible to join APY from October 1, 2022
(D) Government provides permanent co-contribution of 50% for all subscribers throughout the scheme
(E) Exit is permitted at age 55 with 100% lumpsum withdrawal

Correct Answer: (C) Any citizen who is or has been an income tax payer is NOT eligible to join APY from October 1, 2022

Detailed Explanation: APY entry age is 18–40 years. Effective October 1, 2022, the Ministry of Finance notified that any citizen who is or has been an income-tax payer (under the Income-tax Act, 1961) shall not be eligible to open a new APY account. Guaranteed monthly pensions range from ■1,000 to ■5,000 (in multiples of ■1,000) starting at age 60.

UPSC Trap vs. RBI Reality: *UPSC tests if APY is for unorganized sector. RBI targets the exact regulatory amendment cut-off date (1 Oct 2022) excluding income-tax payers.*

PYQ 7 (RBI Grade B Recent Cycle)

In the PM SVANidhi (PM Street Vendor's AtmaNirbhar Nidhi) scheme, what is the maximum credit limit provided to street vendors upon successful repayment of the 1st and 2nd loan tranches (i.e., in the 3rd Tranche)?

(A) ■20,000
(B) ■30,000
(C) ■50,000
(D) ■75,000
(E) ■1,00,000

Correct Answer: (C) ■50,000

Detailed Explanation: PM SVANidhi (under MoHUA with SIDBI as implementation partner) offers working capital in progressive steps: 1st loan up to ■10,000 (1-year tenor), 2nd loan up to ■20,000 (18-month tenor), and 3rd loan up to **■50,000** (36-month tenor). It carries a 7% interest subvention per annum on timely repayment and digital cashback up to ■1,200/year.

UPSC Trap vs. RBI Reality: *UPSC questions rarely distinguish between 2nd and 3rd loan tranches. RBI specifically asks for the 3rd tranche threshold (■50,000).*

CATEGORY 3: MACROECONOMIC INDICATORS, BUDGET & GLOBAL REPORTS

PYQ 8 (RBI Grade B 2025 / 2026 Pattern)

According to the RBI's Financial Stability Report (FSR), what is the minimum regulatory requirement for Capital to Risk-Weighted Assets Ratio (CRAR) for Scheduled Commercial Banks (SCBs) in India, including the Capital Conservation Buffer (CCB)?

(A) 9.0 percent
(B) 10.5 percent
(C) 11.5 percent
(D) 12.0 percent
(E) 8.0 percent

Correct Answer: (C) 11.5 percent

Detailed Explanation: Under RBI's Basel III guidelines, the minimum regulatory capital requirement for Indian commercial banks is 9.0% (higher than Basel's international norm of 8.0%). In addition, banks must maintain a Capital Conservation Buffer (CCB) of 2.5% composed of Common Equity Tier 1 (CET1). Thus, total minimum CRAR including CCB is 9.0% + 2.5% = **11.5%**. (For public sector banks, minimum total CRAR requirement is 12.0% in specific circulars, but standard Basel III requirement for SCBs in India is 11.5%).

UPSC Trap vs. RBI Reality: *UPSC asks what Basel III aims to achieve (capital buffers). RBI tests the exact composite calculation (9.0% base + 2.5% CCB = 11.5%).*

PYQ 9 (RBI Grade B 2024 / 2025 Pattern)

Under the revised FRBM framework targets announced in the Union Budget, what is the Central Government's fiscal deficit target as a percentage of GDP to be reached by FY 2025-26?

(A) Below 3.0 percent
(B) Below 3.5 percent
(C) Below 4.0 percent
(D) Below 4.5 percent
(E) Below 5.1 percent

Correct Answer: (D) Below 4.5 percent

Detailed Explanation: The Union Finance Minister outlined a fiscal glide path aiming to reduce the fiscal deficit to **below 4.5 percent of GDP by FY 2025-26**, progressing from 5.6% (FY24 RE) to 4.9% (FY25 BE). Beyond FY26, the framework pivots from an explicit deficit ratio toward reducing the central debt-to-GDP ratio.

UPSC Trap vs. RBI Reality: *UPSC aspirants remember the historic FRBM target of 3.0%. RBI tests the current medium-term target (4.5% by FY26).*

PYQ 10 (RBI Grade B Recent Cycle)

The 'Global Gender Gap Report' is published annually by which of the following international organizations, and across how many key dimensions/sub-indices does it benchmark national gender gaps?

(A) UNDP; 3 dimensions
(B) World Economic Forum (WEF); 4 dimensions
(C) World Bank; 5 dimensions
(D) International Labour Organization (ILO); 4 dimensions
(E) UN Women; 6 dimensions

Correct Answer: (B) World Economic Forum (WEF); 4 dimensions

Detailed Explanation: The Global Gender Gap Index is released by the **World Economic Forum (WEF)**. It benchmarks parity across **four dimensions**: Economic Participation and Opportunity, Educational Attainment, Health and Survival, and Political Empowerment.

UPSC Trap vs. RBI Reality: *UPSC questions often ask for India's rank in passing. RBI pairs the issuing entity with the exact count of constituent sub-indices.*

PYQ 11 (RBI Grade B 2024 / 2025 Pattern)

What is the minimum denomination and the minimum tenor for which Commercial Paper (CP) can be issued in the Indian money market as per RBI directions?

(A) ■1 lakh and 15 days
(B) ■5 lakh and 7 days
(C) ■10 lakh and 14 days
(D) ■5 lakh and 15 days
(E) ■25 lakh and 30 days

Correct Answer: (B) ■5 lakh and 7 days

Detailed Explanation: Under RBI directions, Commercial Paper (CP)—an unsecured money market instrument issued as a promissory note—can be issued in denominations of **■5 lakh and multiples thereof**. The maturity tenor ranges from a **minimum of 7 days to a maximum of up to 1 year** from the date of issue.

UPSC Trap vs. RBI Reality: *UPSC tests whether CP is a money or capital market instrument. RBI tests the numerical threshold pair (■5 lakh, 7 days).*

PYQ 12 (RBI Grade B 2025 / 2026 Pattern)

Under the Deposit Insurance and Credit Guarantee Corporation (DICGC) Act, what is the maximum insurance cover provided per depositor per insured bank (including principal and interest across all branches) in case of bank failure/liquidation?

(A) ■1,00,000
(B) ■2,00,000
(C) ■3,00,000
(D) ■5,00,000
(E) ■10,00,000

Correct Answer: (D) ■5,00,000

Detailed Explanation: The deposit insurance limit was enhanced from ■1 lakh to **■5,00,000 per depositor per bank** (effective February 4, 2020). Under Section 18A of the DICGC (Amendment) Act 2021, if an insured bank is placed under All Inclusive Directions (AID) by the RBI, depositors can access their insured funds up to ■5 lakh within **90 days**.

UPSC Trap vs. RBI Reality: *UPSC tests 'is DICGC a wholly-owned subsidiary of RBI?'. RBI tests the insurance limit (■5 lakh) and the statutory claim settlement window (90 days).*